Solution

New customer contract

The company is projecting an increase of 40% from a potential new contract with a national healthcare provider. This is a significant increase in the overall revenue of the company. We need to enquire with management whether the contract has been signed, and if so obtain a copy of the contract and confirm the overall sales agreed for the next 12 months and whether this is in line with projections. If the contract has not yet been signed, we should inspect the latest correspondence between the parties to assess the likelihood of the contract materialising, and the potential sales volume and value.

Shortage of important supplies

Industry reports have indicated that a key raw material will see a price increase of 50%, which has been included in the forecast. This will have a significant impact on cost of sales. We should obtain a copy of the industry report to confirm when the price increase is effective from and agree that management have included this in their forecasts for the correct periods. We should also inspect the latest purchase invoices for this raw material, to verify whether the price has increased and by how much.

New loan

The company is seeking a loan to upgrade its existing manufacturing equipment. Given the financial position of the company, it is questionable whether the loan will be approved. Furthermore, the expected interest rate of the loan (interest free rate for first year, followed by a rate of 1%) seems very low and unlikely. We will need to inspect any correspondence with the bank to confirm whether the loan has been agreed and the relevant rates of interest. We will need to understand whether the upgrade is essential to the ongoing productivity of the company in the event that the loan is not approved.

Litigation against the company

Quarter three includes a projected outflow of £100,000 relating to compensation for a legal claim against the company which is likely an estimate and therefore subject to change. We will contact the company's lawyer to confirm the status of this action, the likelihood of the claim being successful, and the amount that is expected to be paid to confirm that this is reasonable. We should also enquire with management and inspect board minutes to assess if this is an isolated issue with a group of customers, or if the issue is more widespread and could result in further claims or the recall of products.

Emerging competitor

Management have assumed that the emerging competitor will have no impact on the cash flows of Dainty. Given that the competitor captured 10% of the UK dentures market in the prior year, this seems unlikely. We should ask management to revise the forecast to capture the likely impact on sales, given the current growth rate of the competitor.